25901172 **A**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) - MG4DSECOM203 - FIXED INCOME SECURITIES AND DEBT MARKET

(2024 ADMISSION ONWARDS)

Duration: 1 hour 15 minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. Treasury Bills are issued by ..... [U] / [CO1]

   a). RBI b). SEBI

   c). Government of India d). Commercial banks

2. Which feature protects investors in debt market? [U] / [CO1]

   a). Speculation b). Legal contract

   c). Market rumours d). Insider trading

3. Insurance companies prefer debt instruments due to ..... [U] / [CO1]

   a). High risk b). Stable long-term returns

c). Speculation d). Liquidity only

4. Which is an economic role of debt market? [U] / [CO1]

a). Resource allocation b). Price manipulation

c). Ownership transfer d). Business mergers

5. Market-based interest rate system was introduced after ..... [U] / [CO1]

a). Bank nationalisation b). Planning commission

c). GST d). Financial sector reforms

6. Money market instruments are classified as short-term because they…..... [U] / [CO2]

a). Offer low returns b). Have high risk

c). Have maturity of less than one year d). Are issued by companies

7. Masala Bonds are an example of …..... [U] / [CO2]

a). Foreign currency bonds b). Domestic bonds

c). Euro bonds d). Rupee-denominated foreign bonds

8. …… is a legal written agreement between the bond issuer and the bond holder. [U] / [CO2]

a). Call Promia b). Prepayment

c). Bond indenture d). Non of these

9. The issuer of a bond is called …..... [U] / [CO2]

a). Borrower b). Creditor

c). Investor d). Guarantor

10. Fixed income securities are less attractive to aggressive investors mainly because they…..... [U] / [CO2]

a). Carry maturity b). Offer fixed returns

c). Have low liquidity d). Are unsecured

11. The asset segment facilitates …..... [U] / [CO3]

a). Short-term liquidity b). Capital formation

c). Currency conversion d). Credit control

12. TREPS reduces …..... type of risk. [U] / [CO3]

a). Interest rate risk b). Currency risk

c). Inflation risk d). Counterparty risk

13. Which of the following is not traded on NDS-Call? [U] / [CO3]

a). Treasury Bills b). Notice money

c). Short-term funds d). Call money

14. The reporting under F-TRAC is …..... [U] / [CO3]

a). Optional b). Weekly

c). Annual d). Mandatory for eligible participants

15. How frequently is interest (coupon) paid on dated government securities? [U] / [CO3]

a). Monthly b). Quarterly

c). Half yealy d). Annually

16. Government Securities in India is issued by …..... [U] / [CO3]

a). Commercial banks b). Central and state government

c). Corporation d). Stock Exchange

17. What is the primary purpose of a corporate debt market? [U] / [CO4]

a). To trade equity shares of a company b). To raise funds for corporations through fixed-income instruments

c). To manage foreign exchange rates d). To regulate commodity prices

18. CBBE model was developed by …..... [U] / [CO4]

a). Kevin Keller b). Philip Kotler

c). Elton Mayo d). Henry Ford

19. A "Zero-Coupon Bond" is a type of corporate bond that: [U] / [CO4]

a). Pays no interest and is issued at a discount b). Pays high interest

c). Allows conversion into equity d). Is guaranteed by the government

20. In India, foreign venture capital investors must be registered with which body to be a QIB? [U] / [CO4]

a). SEBI b). RBI

c). IRDAI d). NSE

21. FPI represents …..... [U] / [CO4]

a). Foreign Portfolio Investment b). Foreign Public Investment

c). Foreign Private Investment d). Front Public Investing

22. The necessary information about a public issue is circulated to the public will be dine through…..... [U] / [CO4]

a). PPM b). PAM

c). PMP d). MMP

[1x20 = 20]

Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. Arrange monetary transmission: [U] / [CO1]

a) Market response
b) Bond yield movement
c) Repo rate change
d) Price adjustment

a). b → a → c → d b). c → b → d → a

c). a → b → c → d d). d → c → b → a

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a) Subscription
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a). a → b → c → d b). d → c → b → a

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25. Arrange steps in appointment of Primary Dealers: [U] / [CO1]
a) Application submission
b) Eligibility assessment
c) RBI approval
d) Commencement of operations

a). a → b → c → d b). b → a → c → d

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26. Consider the following statements Assertion (A)and Reasoning (R). Choose the correct alternative. [U] / [CO1]
Assertion (A): PDs improve market liquidity.
Reasoning (R): They provide continuous buy-sell quotes.

a). Both A and R are true, and R is the correct explanation of A. b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false d). A is false, but R is true

27. Arrange the lifecycle of a debt instrument: [U] / [CO1]
a) Credit assessment
b) Issuance
c) Interest servicing
d) Redemption

a). b → a → c → d b). a → c → b → d

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28. Consider the following Assertion (A) and Reasoning(R). Choose the correct alternative.Assertion (A): Zero coupon bonds are classified under maturity-based classification. Reasoning (R): They do not pay periodic interest. [U] / [CO2]

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30. Consider the following Assertion (A) and Reasoning(R). Choose the correct alternative.Assertion (A): Fixed income securities support economic stability. Reasoning (R): A well-developed bond market improves liquidity and monetary policy transmission. [U] / [CO2]

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a). Statement (1) and (2) only b). Statement (1) , (2) and (4) only

c). Statement (1), (3) and (4) only d). Statement (1) and (3) only

33. Match the advantages of fixed income securities with their role in financial planning and liquidity [U] / [CO2]

(a) Liquidity	(i) Known maturity value
(b) Long-term planning	(ii) Can be sold in secondary market
(c) Capital certainty	(iii) Principal repaid on maturity
(d) Predictable cash flow	(iv) Helps in systematic financial planning

a). a-iv, b-iii, c-ii, d-i b). a-iii, b-ii, c-i, d-iv

c). a-ii, b-iv, c-iii, d-i d). a-i, b-iii, c-iv, d-ii

34. Which rate serves as the benchmark for overnight inter-bank borrowing in India? [U] / [CO3]

a). Repo Rate b). Bank Rate

c). Weighted Average Call Rate (WACR) d). Prime Lending Rate

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Statement I: Commercial Paper is an unsecured short-term instrument Statement II: Commercial Paper is issued at a discount to face value.

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37. The development of CROMS strengthened ..... [U] / [CO3]

a). Informal lending

b). Commodity exports

c). Equity IPO market

d). Secured interbank liquidity management

38. If CCIL guarantees settlement and acts as central counterparty in a G-Sec transaction, it mainly reduces …..... [U] / [CO3]

a). Inflation risk

b). Counterparty credit risk

c). Market liquidity

d). Interest rate volatility

39. Which of the following statements about the Indian money market is correct? [U] / [CO3]

a). It is controlled by SEBI

b). It is fully integrated

c). It deals only in long-term funds

d). It includes both formal and informal institutions

40. What is the minimum investment amount for Treasury Bills (in multiples thereof)? [U] / [CO3]

a). ₹ 10,000

b). ₹ 25,000

c). ₹ 100,000

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41. What type of instruments do Foreign Portfolio Investors (FPI) typically invest in within the Indian government debt market? [U] / [CO4]

a). Treasury Bills (T-Bills) only

b). Dated Government Securities (G-Secs) and State Development Loans (SDLs)

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43. What are "Private Placements" in the context of corporate bond issuers? [U] / [CO4]

a). Issuing bonds to the general public via IPO

b). Selling bonds to a select group of investors rather than the public

c). Trading bonds on the stock exchange

d). Converting bonds into equity

44. What is the role of NaBFID (National Bank for Financing Infrastructure and Development) in the corporate bond market? [U] / [CO4]

a). It issues high-risk junk bonds.

b). It provides "Credit Enhancement" to raise ratings for pension fund investment.

c). It regulates the stock exchanges.

d). It only trades in government securities

45. Which of the following is true about retail investors in the G-Sec market? [U] / [CO4]

a). They cannot invest in T-Bills

b). They need to open a separate Demat account

c). They can use existing demat accounts

d). They are not permitted in primary auctions

46. Floating Rate Bonds (FRBs) have gained traction because they are useful in a …..... [U] / [CO4]

a). Falling interest rate environment

b). Rising interest rate environment

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47. What is the tenure of Sovereign Gold Bonds, and when is premature redemption allowed? [U] / [CO3]

a). 5 years, redemption after 3 years

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c). 10 years, redemption after 5 years

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48. Consider the following statements and choose the most appropriate alternative. Statement I- Recognised stock exchanges provide platforms for listing and trading of corporate bonds. Statement II- Listing of bonds is mandatory for bonds to be traded in India. [U] / [CO4]

a). Both statements are true.

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[2x25 = 50]

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